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Boston Scientific Corporation (BSX)
The Watchman Pullback Is the Entry

Analyst: Justin Wen

A formidable medtech compounder in cardiovascular, electrophysiology and MedSurg, mispriced on U.S. Watchman softness while international growth compounds near 20%. Our framework screens it as a **Buy** with a $75.30 blended target, 78% above the current price.

BUY	$75.30	+78%	$42.30
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

> **The market is pricing U.S. Watchman share loss as a structural verdict;** the international business, growing 17.7% in Watchman and 23.1% in electrophysiology, says it is a local share battle, not a franchise breakdown.

Executive summary

Boston Scientific remains a formidable player in medical technology across cardiovascular, electrophysiology and MedSurg. Despite recent market overreaction to slowing U.S. growth in the Watchman left-atrial-appendage-closure franchise and intensifying competition in electrophysiology, we view the current valuation as an attractive entry point. The announced acquisition of Penumbra positions BSX to enter the neurovascular and mechanical thrombectomy markets. With robust international growth offsetting domestic headwinds and trailing free cash flow of $3.625 billion, BSX is well equipped to sustain revenue growth while reinvesting heavily in R&D and strategic M&A.

$42.30	$21.0B	$3.625B	17.2%	0.60	Oct. 9 2026
REF. PRICE	LTM REVENUE	LTM FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

The moat is clinical and regulatory

Boston Scientific's narrow-to-wide moat rests on intangible assets, high physician switching costs and immense regulatory barriers. In structural heart, BSX historically dominated left-atrial-appendage closure; intensified LAA competition triggered a 14% share-price drop, yet Watchman revenue still grew 17.7% outside the U.S. In electrophysiology, the generational shift from thermal ablation to pulsed field ablation is reshaping procedure volumes, and BSX posted 23.1% international growth in the segment. The Penumbra acquisition, for cash and stock, is the competitive catalyst: entry into fast-growing mechanical thrombectomy and neurovascular markets.

Three scenarios make the valuation range explicit

The DCF compounds $21.7B FY2026 revenue at 3.0% to 7.0% through 2036, with FCF margins normalizing toward the 22% to 25% steady state of mature device peers.

SCENARIO	WEIGHT	FY2027–36 CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear (Conservative)	25%	3.0%	18.0%	**$51.70**	+22%
Base	50%	5.0%	20.5%	**$72.50**	+71%
Bull	25%	7.0%	22.5%	**$104.40**	+147%

Bear: Watchman share loss proves structural; U.S. electrophysiology stalls and margins never normalize past 18%.

Base: International growth offsets U.S. softness; R&D efficiency lifts FCF margins to 20.5% over the forecast.

Bull: Penumbra integrates cleanly, PFA adoption accelerates, and operating leverage reaches the 22.5% peer benchmark.

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The probability-blended target implies 78% upside

Blended target: $75.30 per share

A 25% Bear / 50% Base / 25% Bull weighting implies 78% upside from the $42.30 reference price. Even the Bear case sits about 22% above the market.

$75.30
BLENDED TARGET

A live discount rate, not a static hurdle

The valuation uses a ten-year unlevered free cash flow DCF covering FY2027–2036. Revenue compounds from the $21.7B FY2026 baseline at scenario-specific rates, with EBIT margins calibrating to 23.1% in the Base case by 2036. Terminal value is a Gordon perpetuity at 2.0% growth on 2036 free cash flow.

The discount rate is the live CAPM rate: the 10-year Treasury at 5.25% plus a 0.60 beta times a 3.63% equity risk premium, for a 7.4% WACC. At that hurdle, the Base case prices at $72.50 and the Bull case at $104.40, with assumptions otherwise unchanged from the research framework.

FY2026 revenue base	**$21.7B**
Valuation horizon	**FY2027–2036**
Live WACC (Oct. 2026)	**7.4%**
Terminal growth	**2.0%**
Equity beta	**0.60**
Shares outstanding	**1,475M**

FCF margin normalization is the engine

BSX is in a high-reinvestment phase, deploying $554M into R&D in Q2 2026 alone. LTM free cash flow of $3.625B on $21B of revenue is a 17.2% margin; mature device peers settle between 22% and 25%. If growth-oriented R&D and integration spend were cut to maintenance levels, the normalized mature FCF margin would sit at 22.5%, and that normalization underwrites the terminal value in every scenario. Earnings compounded at 34.9% annually over the last five years, so the reinvestment has a receipt.

Mechanics are explicit

The detailed EBIT-bridge format runs revenue to EBIT to cash taxes, then adds back stock comp and D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets divide by 1,475M shares outstanding after the accelerated share repurchase. The 2036 EBIT margin calibrates to 23.1% in the Base case and 27.4% in the Bull case.

Methodology note. The discount rate is the live U.S. 10-year Treasury yield via GOOGLEFINANCE plus beta × equity risk premium: a 0.60 beta and a 3.63% ERP at a 5.25% yield imply a 7.4% WACC. Terminal growth is 2.0% on 2036 free cash flow; the $75.30 headline target applies 25% / 50% / 25% Bear / Base / Bull weights. See the scenario tabs in the model workbook.

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Revenue prospects anchor on international and neurovascular

BSX operates in an oligopoly alongside Medtronic, Edwards Lifesciences and Becton Dickinson. Full-year 2025 revenue reached $20.1B, up 20% year over year, and revenue has compounded at 13.3% annually over five years. Q2 2026 net sales were $5.442B, up 7.5%, with net income of $907M on a 17% margin. Forward revenue is forecast to grow 5.4% to 8.5% annually over the next three years, with international rollouts and neurovascular interventions offsetting near-term U.S. Watchman softness.

What to monitor

- **Procedure volumes.** Localized LAA-closure and electrophysiology ablation volumes are the cleanest read on whether Watchman softness is share loss or procedure slowdown.
- **R&D yield.** R&D runs about 10% of sales; watch FDA clearances and PMA approvals per dollar of spend to confirm the capital is producing commercial products.
- **Penumbra integration.** Regulatory and antitrust clearance, integration milestones and realized cost synergies will decide whether neurovascular becomes a second growth engine or a digestion exercise.
- **International durability.** The 17.7% Watchman and 23.1% electrophysiology international prints are the offset thesis; any fade there undermines the Base case directly.

$20.1B	+20%	$5.44B	17.7%	23.1%	14.6%
FY2025 REVENUE	FY2025 GROWTH	Q2 2026 SALES	INTL. WATCHMAN	INTL. EP GROWTH	ROE

Financial summary (LTM 2026)

METRIC	VALUE
Revenue	$21.00B
Gross profit	$14.53B
Net income	$3.67B
Free cash flow	$3.625B
R&D expense	$2.15B
ROE	14.6%

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The bear case

Watchman share erosion
Intensifying LAA-closure competition has already cost 14% of the share price. If U.S. share loss accelerates faster than international growth compounds, the Bear case's 3.0% CAGR is at risk.

Penumbra integration
Neurovascular is a new adjacency. Regulatory delays, antitrust friction or slow synergy realization would turn the catalyst into an overhang.

U.S. pricing pressure
Hospital consolidation and payer scrutiny compress device pricing domestically, which is why the growth algorithm leans increasingly on international markets.

Electrophysiology disruption
The thermal-to-PFA transition is generational. A misstep in pulsed field ablation positioning against Medtronic and Johnson & Johnson would impair the highest-growth segment.

Reinvestment treadmill
R&D at 10% of sales and serial tuck-in M&A keep FCF margins below the 22.5% normalized benchmark. If the yield on that spend fades, margins never normalize.

Valuation sensitivity
At a 7.4% WACC, small moves in the discount rate move the target materially. A sustained rise in long yields would cut the other way.

The strengths

Oligopoly positioning
Cardiovascular devices are a concentrated market with brutal regulatory barriers; incumbents with installed physician relationships defend share durably.

Cash generation
$3.625B of LTM free cash flow funds the R&D budget, the Penumbra deal and the buyback without balance-sheet strain.

International compounding
Watchman up 17.7% and electrophysiology up 23.1% outside the U.S. — the growth engine the market is underweighting.

Pipeline optionality
PFA, structural heart iterations and now neurovascular give BSX multiple independent shots at the Bull case's 7.0% CAGR.

Compelling risk-reward, skewed to the upside

Investment view: Buy. The $75.30 blended target implies 78% upside, balancing the $51.70 / $72.50 / $104.40 Bear / Base / Bull outcomes. The Watchman drawdown repriced a share battle as a franchise verdict; the international prints and the Penumbra entry say otherwise.

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Farapulse: the PFA franchise, repriced on normalization

Farapulse is Boston Scientific's pulsed-field ablation (PFA) system for treating atrial fibrillation. Unlike traditional ablation, which destroys problematic heart tissue with extreme heat or cold, Farapulse uses targeted, high-voltage electrical fields. The technology is sought after because it corrects irregular heartbeats while significantly reducing the risk of damaging nearby healthy tissue and structures.

Why the growth numbers disappointed

- **Victim of its own early success.** Farapulse was a blockbuster launch, generating over $1 billion in its first year and driving triple-digit growth (over 170%) in the electrophysiology unit in late 2024. That initial adoption wave set extremely high expectations for subsequent quarters.
- **Decelerating quarter-over-quarter growth.** After hospitals rapidly adopted the technology, the pace naturally slowed. Year-over-year growth remained strong at around 37% in Q4 2025, but U.S. sales flatlined quarter-over-quarter heading into 2026, and the electrophysiology division missed some market revenue estimates.
- **Increasing competition.** Boston Scientific enjoyed a significant first-mover advantage, but the PFA market is crowding. Medtronic, Johnson & Johnson (Varipulse) and Abbott are pushing aggressively into the space, and investors fear share erosion.

> **Our read: normalization, not share loss.** Farapulse remains a massive commercial success and Boston Scientific the clear PFA market leader. Management expects its market share to equal that of all competitors combined by the end of 2026, and the 23.1% international electrophysiology print supports the leadership claim.

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